

such an approach has left a deferred cost burden to be borne by society and future generations. And that cost is today spiraling out of control, threatening future economic progress.



### GLOBAL WARMING : THE MOTHER OF ALL CHALLENGES

Even as societies grapple with these challenges, the world is today confronted with yet another impending catastrophe. This relates to the phenomenon of **global warming and climate change**. Scientific evidence available today not only confirms the acceleration of global warming, but warns that an increase beyond 2 degrees would trigger an irreversible "tipping point", exposing the planet to unmitigated disaster. Global warming exacerbates the challenges of poverty and environmental degradation and together they pose a threat of far reaching consequences to societies around the world.

In less than six months from now, delegations from more than 180 countries will converge in Copenhagen for the 15th Conference of Parties of the United Nations Framework Convention on Climate Change. The mandate is to discuss the long-term co-operation architecture post the Kyoto Protocol. More than 10,000 people comprising Government leaders, experts, non-governmental organisations and representatives of business will pool their minds to find solutions to combat this critical problem facing the global community. Indeed, for once, the world has been unified by a common global threat, bringing home the reality that we have one planet to live together or perish together.

The stakes are unfortunately very high for developing nations like India. Global warming transcends geographical and political borders and does not distinguish between the rich and poor. However, its impact can be particularly severe for poorer nations. The large numbers of people living below the poverty line are particularly vulnerable to natural disasters. Agriculture, the mainstay for developing economies, is far more susceptible to climate-induced disasters. The recent occurrence of extreme events in India is a forerunner of this warning. The frequent occurrence of heat waves, droughts and floods only signal that global warming is no longer an issue of the future. It is impacting us here and now.

There is hope that solutions will be found in Copenhagen in the best traditions of international co-operation. The fact that advanced nations have largely contributed to the current problems of global warming is no longer an issue of debate. A recent study by HSBC Global Research states that at least 60 % of historical CO<sub>2</sub> emissions have been generated by the industrialised world. Yet, advanced nations persist in their contention that developing countries take on mandatory cuts in emissions, disregarding the huge developmental requirements of poorer nations. In addition, measures such as carbon taxes are also being contemplated on imports from countries that are not subject to mandatory emission cuts.

One way or the other, the post Copenhagen era will bring in new challenges - **challenges that can significantly change the context of competitiveness for business**. Emission reduction targets in developed nations will invariably get translated through their businesses. This would eventually incentivise businesses in those countries to adopt low carbon

strategies. Moreover, growing environmental concerns of consumers and the "greening" of business by responsible corporations will also compel products and supply chains to become more carbon-sensitive. In addition, buyer preferences and increasing non-tariff barriers flowing from environmental concerns will progressively force a low carbon regime on businesses across the world.

This will create new competitive pressures on business. No longer will cost, quality and efficiency be the only factors determining competitiveness. **The ability of a business corporation to adopt low carbon operations as well as sustainable business practices will be one of the key determinants of competitiveness in the years to come.**



### A NEW PARADIGM OF COMPETITIVENESS

This impending reality will progressively change the rules of the game. It requires businesses to shape a totally new paradigm of competitiveness. A strategic shift that will require businesses to build capabilities to address the stringent demands of a low carbon global business environment. For a country like India with millions below the poverty line and nearly 12 million people entering the job market every year, **a competitive low carbon strategy of growth will also have to generate incremental employment and livelihoods. Therefore, for Indian business, this new paradigm of competitiveness will not only require the creation of "green businesses", but also the generation of "green livelihoods"**

In the years ahead, a heightened level of consumer concern and greater social awareness will compel businesses to demonstrate their response to a low carbon regime through their products and practices. It is, therefore, entirely in the enlightened self-interest of business to integrate this new paradigm in their business strategies. **Going forward, competitiveness and profitability will be increasingly linked to the ability of business to make carbon reduction and the creation of sustainable livelihoods an integral part of their value proposition to consumers.**

It is my belief that **Innovation, Incentivisation and Inclusiveness hold the key to crafting this new dimension of competitiveness**. Innovation in technology, processes, and business models that enable achievement of a low carbon high-growth economy. Incentives that encourage and reward the adoption of corporate strategies which go beyond the traditional frontiers of the market to achieve a larger societal contribution. Inclusiveness in aligning all forces be it public, private and people partnerships, or the power of supportive fiscal policies, financial initiatives, and market institutions to achieve a common shared goal.

With this broad strategic approach, let me now turn to the challenges and opportunities that lie ahead in those sectors of the economy where your Company has significant presence. I will also highlight how your Company has been progressively positioning itself by building a new paradigm of competitiveness to meet the challenges of tomorrow.